OCAD - ONE COMPANY A DAY

SERIES: INDUSTRIAL

WM (Waste Management, Inc.)

WM | New York Stock Exchange

USD 226.86 per share

Closing price, Friday 16 October 2026, latest completed trading day



WM daily closing price, 1 July 2026 to 16 October 2026, USD per share. Source: Alpha Vantage daily price series.

REPORT DATE
18 October 2026

ANALYST
Arthur Faugeron

SERIES
Industrial

EXCHANGE
New York Stock Exchange

Executive Summary

WM is the largest landfill owner and one of the three dominant solid waste collectors in North America. It sells a compounding combination of annual price increases and owned disposal capacity that competitors cannot replicate. The stock trades at 27.9 times 2026 consensus earnings and 14.6 times trailing EBITDA, a discount to its two closest peers on the second measure, while its volumes are shrinking and its 2024 acquisition of Stericycle has so far added revenue but not earnings per share.

Business

WM collects, transfers, recycles and disposes of municipal, commercial and industrial waste in the United States and Canada, and since November 2024 also operates a medical waste and secure document destruction business (Healthcare Solutions). Collection and Disposal produced USD 20.7bn or 82.1% of 2025 revenue of USD 25.2bn, and the owned network of 257 landfills is the economic core because it captures the disposal fee on waste that WM itself collects.

Financial Condition

Revenue was USD 25.2bn in 2025 (+14.2%, with Healthcare Solutions adding USD 2.1bn of the USD 3.1bn increase) and USD 12.9bn in the first half of 2026 (+3.7%). Adjusted operating EBITDA was USD 7.58bn in 2025 (30.1% margin); income from operations was USD 4.31bn, net income USD 2.71bn, operating cash flow USD 6.04bn and company-defined free cash flow USD 2.94bn. Net debt was USD 22.8bn at 30 June 2026, or 3.1 times trailing reported operating EBITDA.

Market Position

Direct competitors are Republic Services, Waste Connections and Casella Waste Systems, alongside municipal and private regional operators. WM’s advantage is the scale and internalization of its landfill network, with a 2025 Collection and Disposal margin near 38 percent against a group margin of 31 percent; its weakness is a Healthcare Solutions unit that earns a 17 to 19 percent margin on roughly USD 7.5bn of capital deployed.

Valuation

At USD 226.86 the market capitalization is USD 90.7bn and enterprise value USD 113.5bn. Trailing GAAP P/E is 32.1 times, forward P/E on 2026 consensus EPS of USD 8.14 is 27.9 times, EV/EBITDA is 14.6 times (provider basis), and P/FCF is 24.7 times on trailing company-defined free cash flow. The dividend yield is 1.67%.

Investment Framework

WHAT IS ATTRACTIVE	Price-led growth: C&D core price was 6.3% and yield 3.8% in 2025 while volume was flat. The 2026 free cash flow guide of USD 3.75bn to 3.85bn is up about 29% at the midpoint, and the first half is running 57% ahead of the prior year.
WHAT IS CONCERNING	Second quarter collection and disposal volume fell 1.8% (0.4% lower excluding wildfire clean-up in the base period), full-year revenue guidance was cut 0.6% in July, and diluted EPS fell 1.6% in 2025 although adjusted EBITDA rose 15.5%.
WHAT MUST GO RIGHT	Yield of 3.2% to 3.6% must hold without driving customer attrition, Healthcare Solutions must lift its margin from 19.0% toward the legacy business, and USD 3.5bn of annual dividends and buybacks must be funded without a rise in leverage.
WHAT COULD BREAK THE THESIS	A sustained volume decline that exposes the limits of pricing, environmental liability (PFAS) rulings that raise closure costs, or a Healthcare Solutions impairment against USD 14.0bn of goodwill.
PRICED IN	Our base case DCF gives USD 222 per share, almost exactly the market price. The price implies a terminal growth rate of 3.1% at a 7.8% WACC, or about 4.5% revenue growth to 2031 with 210 basis points of EBITDA margin expansion.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High. Owned disposal assets, contracted collection routes and recurring demand support a 38% segment margin.
Financial quality	Good but leveraged. Cash conversion is strong (operating cash flow 2.2 times net income) but capital intensity of 12 to 13% of revenue limits free cash flow.
Competitive position	Leading, with a strong moat in disposal and a moderate position in healthcare waste.
Growth profile	Moderate. Price-led growth of 4 to 6% a year, flat to negative volume, and acquisition-driven history.
Balance-sheet risk	Moderate. Net debt of 3.1 times EBITDA, goodwill and intangibles equal to 178% of equity, interest cover of 5.0 times EBIT.
Valuation	Full on earnings, modest versus peers on EBITDA. Priced close to the base case DCF value.
Market and technical profile	Low beta (0.42) defensive stock, currently overbought after an 8.6% weekly rally and trading above both moving averages.

Source: analyst assessment based on the data in sections A to C.

A. About the Business

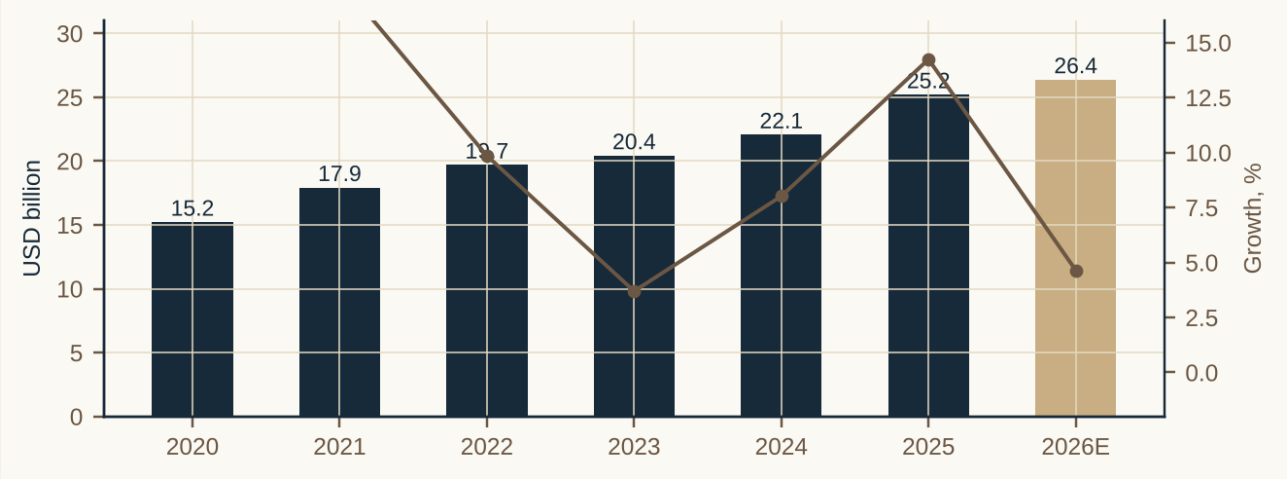
A1. Business Environment

The industry is North American non-hazardous solid waste management, a value chain that runs from the waste generator (households, municipalities, businesses) through collection, transfer, recycling or processing, and finally disposal in landfills or energy recovery. Value is captured at two points. Collection is a local route-density business in which the company with the most stops per route has the lowest unit cost. Disposal is a scarce-asset business: permitting a new landfill takes years and meets local opposition, and nearly half of open municipal landfills handling over half of annual waste are expected to close by 2050, according to William Blair research. The owner of the landfill therefore sets the marginal price of disposal in its region.

Industry revenue pools were not retrieved from a primary source. A proxy for the organized public market is the 2026 revenue guidance of the three largest listed operators: WM USD 26.4bn (mid-point), Republic Services USD 17.25bn and Waste

Connections USD 10.0bn, a combined USD 53.7bn before Casella (USD 2.1bn). The main cost pools are labor and fuel (collection), landfill operating and closure costs, and depreciation of trucks, containers and cells. Capital intensity is high, with WM spending about 10 to 13% of revenue on capital expenditure, but returns are supported by pricing power: WM's yield was 3.8% in 2025 and 3.6% in the second quarter of 2026 while volume was flat to negative.

WM revenue and annual growth



Source: WM annual and quarterly results (Alpha Vantage financial statements, WM 2025 and second quarter 2026 earnings releases). 2026E is the mid-point of company guidance of USD 26.275bn to 26.475bn. Units: USD billion; growth in percent.

The industry is mature and consolidating. Volume growth is tied to GDP and population and is close to zero, so growth comes from price above cost inflation and from acquisitions. It is only mildly cyclical: the 2020 pandemic year cut WM revenue by 1.5%, and the following year restored it. Regulation (RCRA, CERCLA, Clean Air Act methane rules, extended producer responsibility) raises the cost of new capacity and favors incumbents with permitted airspace. Technological dependence is moderate and is shifting toward route optimization, automated sorting and renewable natural gas production.

INDUSTRY STAGE: MATURE AND CONSOLIDATING

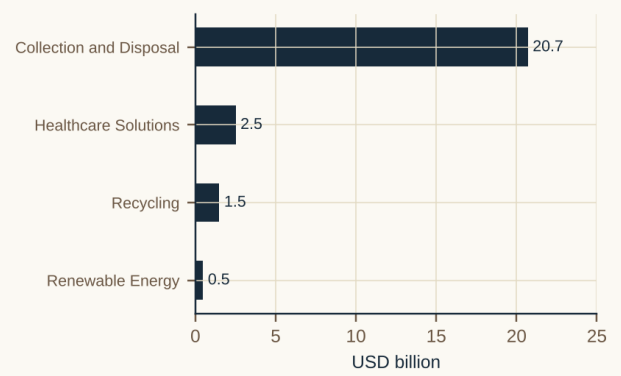
> Volumes are flat, pricing exceeds inflation, assets are scarce and permits are slow, so the sector behaves as a mature oligopoly in each local market with consolidation among the top operators and regional acquirers. It is not speculative or disrupted; the main structural transformation is circularity (recycling, renewable energy) and the conversion of landfill gas into fuel.

A2. What Does the Company Do?

WM is organized in four reporting segments. Collection and Disposal (USD 20.7bn of 2025 revenue) picks up waste from commercial, industrial, residential and other customers under contracts (commercial agreements typically run three years, residential franchises three to ten years), moves it through 342 transfer stations and disposes of it in 257 landfills. Recycling Processing and Sales (USD 1.5bn) runs 113 recycling facilities, of which 51 are single stream, and sells recovered fiber, plastics and metals. Renewable Energy (USD 0.5bn) converts landfill gas at 103 beneficial-use projects into electricity and renewable natural gas. Healthcare Solutions (USD 2.5bn) provides regulated medical waste and secure information destruction, operating 42 autoclave facilities, 17 medical waste incinerators and 99 shredding facilities in the United States, Canada and Western Europe. The company employs about 60,500 people, 9,200 of whom are covered by collective bargaining agreements.

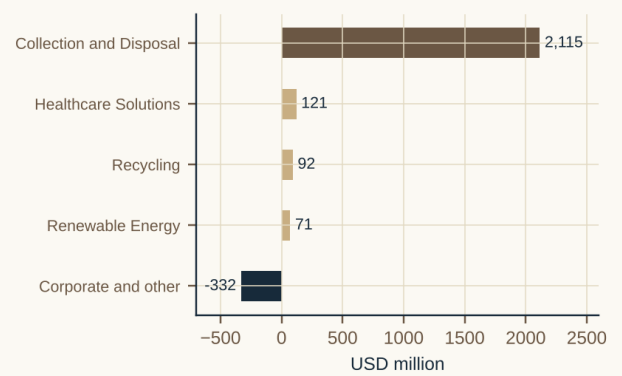
Revenue is largely recurring: collection is billed monthly under multi-year contracts, while landfill, transfer and recycling revenue is volume and price driven and therefore more variable. Pricing is set through annual escalators (core price of 6.3% in 2025, yield of 3.8% after volume and mix effects) and fuel and environmental surcharges. No customer exceeded 5% of 2025 revenue.

Revenue by segment, 2025



Source: WM fourth quarter 2025 earnings release. Units: USD billion.

Adjusted operating EBITDA by segment, Q2 2026



Source: WM second quarter 2026 earnings release. Units: USD million.

How one dollar of revenue is used

Using the first half of 2026 (revenue USD 12,911m), operating expenses absorbed 59.2 cents of each dollar, selling, general and administrative expense about 10.8 cents, and depreciation, depletion, amortization and accretion 11.7 cents. Income from operations was 18.3 cents, interest 3.5 cents, tax 3.1 cents, and consolidated net income 11.7 cents. Operating cash flow was 25.0 cents and capital expenditure 9.9 cents.

1. CUSTOMER
Households, municipalities, commercial and industrial accounts, hospitals and clinics. No customer above 5% of revenue.

2. PRODUCT AND SERVICE
Collection, transfer, landfill disposal, recycling, landfill gas to energy, medical waste and secure shredding.

3. REVENUE
USD 25.2bn in 2025: Collection and Disposal 82%, Healthcare Solutions 10%, Recycling 6%, Renewable Energy 2%.

4. COSTS
Operating costs 59.2 cents per dollar in Q2 2026 (labor, fuel, landfill, transport); SG&A 10.2 cents.

5. OPERATING PROFIT
Adjusted operating EBITDA margin 30.9% in Q2 2026; income from operations 18.7%.

6. CASH FLOW
Operating cash flow USD 3.2bn in the first half; free cash flow USD 2.0bn after capex.

7. CAPITAL ALLOCATION
First half 2026: dividends USD 764m, buybacks USD 1,003m, capex USD 1,280m.

Economically, the most important parts are the landfill-linked disposal margin and the annual price increase. A one percentage point change in Collection and Disposal yield is worth about USD 207m of revenue, most of which falls to EBITDA because it carries no incremental cost (calculated from 2025 segment revenue).

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Customers	Municipalities (franchise and contracts), commercial and industrial accounts, healthcare providers. Largest customer under 5% of revenue.	Diversification limits concentration risk; municipal contracts reprice with indices and often include fuel and recycling adjustments.
Suppliers	Truck, container and equipment manufacturers; fuel (including RNG produced from WM landfills); labor.	Fuel and equipment inflation are the main input costs; self-produced RNG is a partial hedge for the natural gas fleet.
Disposal network	257 owned or operated landfills and 342 transfer stations (excluding Stericycle).	Internalization of collected waste into owned disposal sites raises consolidated margins and cash flow per the 10-K.
Healthcare Solutions	Stericycle, acquired November 2024 (about USD 7.5bn of cash acquisitions in 2024 per the cash flow statement).	Added medical waste and secure information destruction; margin 17 to 19% against 38% in Collection and Disposal.
Renewable Energy	103 landfill gas projects: 62 power, 24 direct use, 17 RNG.	Converts a disposal by-product into energy revenue; Q2 2026 EBITDA margin 45.2%, but sensitive to RIN and gas prices.
Recycling	113 facilities, 51 single stream.	Commodity-exposed margin (18.4% to 22.8% adjusted in Q2); helps meet municipal diversion goals.
Competitors	Republic Services, Waste Connections, Casella, municipal systems, regional private operators.	Compete for routes, municipal contracts and disposal volume; consolidators also compete for tuck-in acquisitions.
Shareholders	Institutions hold about 84.7% of shares; insiders 0.17% (provider data).	Broadly held by index and dividend funds; negligible insider ownership.

Source: WM Form 10-K for 2025; WM second quarter 2026 earnings release; StockAnalysis ownership data, 18 October 2026.

A4. Competition

COMPETITIVE COMPARISON, USD

Company	2026 revenue	EBITDA margin	EV/EBITDA	Net debt/EBITDA	Fwd P/E
WM	26.4bn	31.1%	14.6x	2.9x	26.6x
Republic Services	17.25bn	32.1%	16.2x	2.7x	30.3x
Waste Connections	10.0bn	32.8%	16.4x	3.1x	28.4x
Casella	2.1bn	22.7%	16.1x	3.4x	66.9x

Source: company second quarter 2026 releases and guidance (revenue is the guidance mid-point; margin is the adjusted EBITDA margin of Q2 2026, WM guidance mid-point for the full year); multiples and net debt from StockAnalysis, 15 to 18 October 2026, EV/EBITDA on trailing basis; net debt/EBITDA calculated from provider EV and EV/EBITDA.

Republic Services is the closest comparable: a national collector with an integrated landfill network, 2026 revenue guidance of USD 17.2bn to 17.3bn, adjusted EBITDA guidance of USD 5.525bn to 5.55bn, Q2 core price of 5.3%, and an adjusted EBITDA margin of 32.1%. Waste Connections focuses on secondary and exclusive-market geographies where it holds a local franchise, which explains its higher margin of 32.8% and lower revenue base; it raised its 2026 adjusted EBITDA guide to USD 3.33bn to 3.34bn. Casella is a regional New England and upper New York operator, growing 16.9% in Q2 through acquisitions and 5.5% pricing, but with a 22.7% margin and negligible earnings. These three were selected because they compete directly for collection routes, municipal contracts, disposal volume and acquisition targets, and share the same listed-market investor base.

Indirect and emerging competitors include municipalities that operate their own collection and landfills, regional private haulers and, in healthcare waste, specialist treatment providers and incinerator operators; no financial data on these were retrieved. The main substitute is waste reduction and diversion (recycling, composting, waste-to-energy), which reduces landfill volume but

also creates demand for WM's recycling and organics assets. Relative to the peer group WM is the largest by revenue (about 1.5 times Republic), has the lowest EBITDA margin of the three national operators (diluted by Healthcare Solutions and corporate costs) and the lowest EV/EBITDA multiple, which is consistent with a market that applies a discount to the unproven healthcare integration.

A5. Competitive Differences

WM's structural advantages are scale and disposal ownership. With 257 landfills it can internalize collected waste, avoid third-party tipping fees, and set the local disposal price for competitors that must use its sites. The Collection and Disposal segment earned a 38.6% adjusted EBITDA margin in Q2 2026, roughly 6 to 7 points above the Republic and Waste Connections consolidated margins, evidence that the advantage is visible in the financial statements. Route density and customer retention add a second, more local moat. Brand and technology (automated recycling facilities, fleet electrification, customer digital tools) are temporary advantages that competitors can copy, while permitting barriers and airspace are structural.

Disadvantages: Healthcare Solutions has lower margins (16.9% in 2025, 19.0% adjusted in Q2 2026), a declining revenue line (USD 638m against 646m a year earlier) and depends on integration synergies. Volume exposure is negative, labor is partly unionized, capital intensity is high, and leverage of 3.1 times EBITDA leaves less room than before the acquisition. Unlike Waste Connections, WM operates in more contested urban markets with municipal tenders.

MOAT ASSESSMENT: STRONG

> The moat rests on owned, permitted disposal capacity and on route density, both hard to replicate. It is not Very Strong because volume is not growing, municipalities can insource or re-tender, healthcare waste has lower barriers, and the pricing power evident in a 6.3% core price depends on inflation and customer tolerance.

A6. Industry Trend

Historical growth has been price-led: WM revenue grew at a 10.6% compound rate from 2020 to 2025, but organic growth in Collection and Disposal was about 4 percent in 2025 (yield 3.8% plus volume 0.1%), with the rest from acquisitions (USD 7.5bn in 2024, USD 0.4bn in 2025). Current trend: yield of 3.6% and volume of negative 1.8% in Q2 2026, with commercial yield 4.0%, industrial 3.4% and residential 6.1%. Expected trend: WM guided to 2026 yield of 3.2% to 3.6%, while Casella reported solid waste pricing of 5.5% in Q2 2026 and Republic core price of 5.3%, so industry pricing is still running ahead of cost inflation.

Supply and demand drivers are landfill closures and permitting delays (supply), population and economic activity (demand), and recycling and renewable energy economics (RIN and natural gas prices; recycled commodity prices). The industry is structurally transforming in three ways: circularity regulation (extended producer responsibility), landfill methane monetization, and consolidation by the top operators. These are structural. Cyclical elements include wildfire and hurricane clean-up volume (wildfire clean-up added 50 basis points to 2025 volume and USD 64m to EBITDA in the second quarter of 2025), commodity prices and industrial activity. The trend could reverse if inflation falls enough to remove the justification for price escalators, if regulation compels pricing concessions, or if volume declines accelerate due to waste reduction and housing weakness.

A7. Management

EXECUTIVE TEAM

Name	Position	Background
James C. Fish, Jr.	Chief Executive Officer and director	Joined WM in 2001 and has been CEO since November 2016.
John Morris	President	Leads long-term growth strategy, company performance, technology and automation.
Tara Hemmer	Executive Vice President and Chief Operating Officer	Oversees field operations, operational transformation and sustainability services including recycling.
David L. Reed	Executive Vice President and Chief Financial Officer	Succeeded Devina Rankin in November 2025; previously vice president and treasurer, then business partner for West Tier operations.
Charles Boettcher	Executive Vice President and Chief Legal Officer	Responsible for legal, compliance, government affairs and real estate.

Source: WM leadership page; Waste Dive, 22 August 2025 (CFO transition). Full career backgrounds were not available on the sources reviewed.

Capital allocation under Fish has been acquisitive and shareholder friendly: Stericycle (about USD 7.5bn in 2024), dividends that rose from USD 970m in 2021 to USD 1,334m in 2025 (an 8.3% compound rate) and an intended 2026 dividend of USD 3.78 per share, and a planned USD 2bn of buybacks in 2026 (USD 1,003m completed in the first half). Debt management has been to fund the acquisition with new borrowings (USD 24.6bn of gross borrowings in 2024) and hold leverage near 3 times. Guidance discipline is reasonable: the full-year free cash flow guide of USD 3.75bn to 3.85bn and the adjusted EBITDA guide of USD 8.15bn to 8.25bn were unchanged between January and July 2026, and only revenue was lowered (by 0.6%).

The incentive alignment is moderate. Insiders own 0.17% of shares, so management does not carry significant personal exposure, and compensation data were not retrieved. Weaknesses to watch: the Stericycle acquisition was priced at a high multiple and has not yet raised EPS (reported diluted EPS fell from USD 6.81 to USD 6.70 in 2025; adjusted EPS rose from USD 7.23 to USD 7.50), and the CFO transition came midway through the integration.

B. Evaluation

B1. Financial and Operating Metrics

The first table shows profitability and returns on the reported figures from 2021 to 2025. Gross margin is defined as revenue less operating costs and depreciation, depletion and amortization, because WM does not report a gross profit line; it is a calculated measure. Operating margin is income from operations over revenue. ROE uses year-end equity; ROIC is income from operations after the effective tax rate over average capital (debt plus equity less cash), so that it is comparable with the provider figure of 11.6%.

PROFITABILITY AND RETURNS, PERCENT

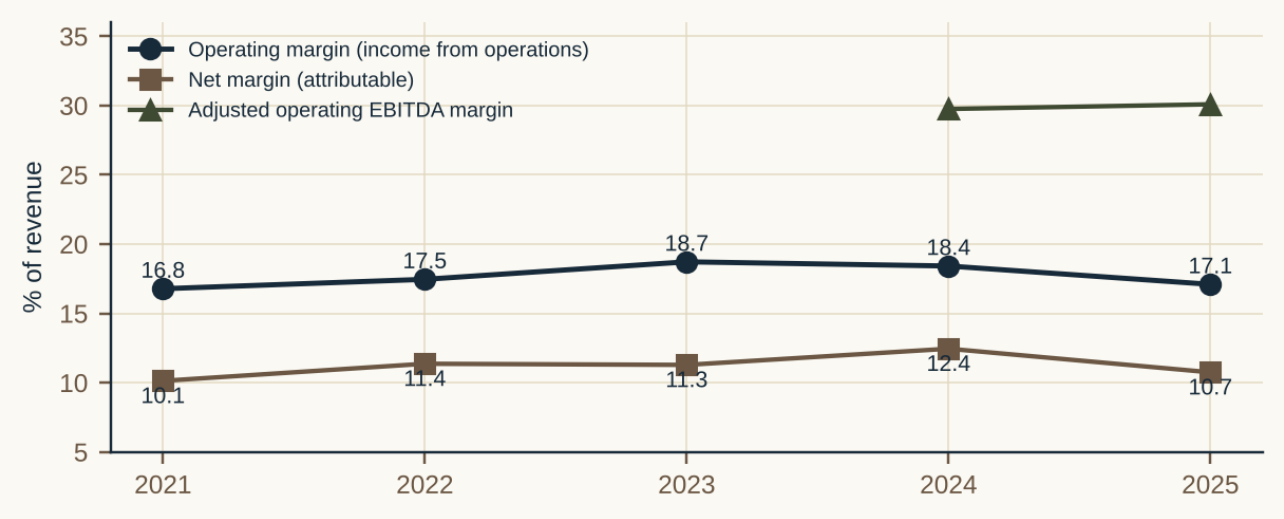
Metric	2021	2022	2023	2024	2025
Gross margin after DD&A	26.9	27.2	28.1	29.1	29.1
Operating margin	16.8	17.5	18.7	18.4	17.1
Adjusted operating EBITDA margin	N/A	N/A	N/A	29.7	30.1
Net margin	10.1	11.4	11.3	12.4	10.7
Return on equity	25.5	32.7	33.4	33.3	27.1
Return on invested capital	11.3	12.6	13.0	11.9	10.6

Source: Alpha Vantage annual income statements and balance sheets (2021 to 2023 operating income per provider, 2024 and 2025 per WM earnings release); calculations by the analyst. Adjusted EBITDA margin from WM fourth quarter 2025 release.

Operating margin peaked at 18.7% in 2023 and fell to 17.1% in 2025 because Stericycle carries a lower margin and 2025 included USD 299m of restructuring, impairment and divestiture charges. ROE of 27% to 33% looks exceptional but is flattered

by low book equity after years of buybacks; ROIC of 10.6% to 13.0% is the better measure, and it is only 3 to 5 points above a plausible WACC of 7.8%. Returns declined after the acquisition because invested capital rose from USD 22.7bn at the end of 2023 to USD 32.7bn at the end of 2025 while income from operations rose only 13%.

Operating, net and adjusted EBITDA margins



Source: WM annual results and earnings releases; analyst calculation. Units: percent of revenue; 2021 to 2025 fiscal years.

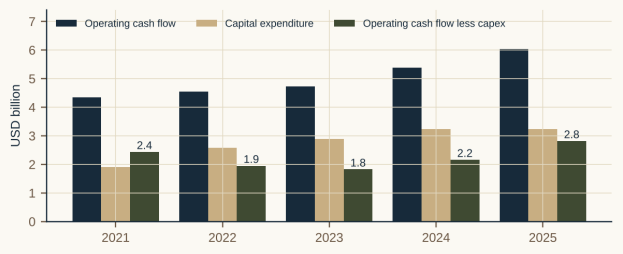
GROWTH, LEVERAGE AND CASH FLOW METRICS

Metric	2021	2022	2023	2024	2025
Revenue, USD m	17,931	19,698	20,426	22,063	25,204
Revenue growth, %	17.8	9.9	3.7	8.0	14.2
Net income, USD m	1,816	2,238	2,304	2,746	2,708
Operating cash flow, USD m	4,338	4,536	4,719	5,390	6,043
Capital expenditure, USD m	1,904	2,587	2,895	3,231	3,227
Operating cash flow less capex, USD m	2,434	1,949	1,824	2,159	2,816
Capex to revenue, %	10.6	13.1	14.2	14.6	12.8
Operating cash flow to net income, x	2.39	2.03	2.05	1.96	2.23
Net debt, USD m	13,287	14,633	15,771	23,486	22,706
Debt to equity, x	1.88	2.19	2.35	2.90	2.29
Income from operations to interest, x	8.2	9.1	7.6	6.8	4.7

Source: Alpha Vantage annual statements; WM fourth quarter 2025 release for 2024 and 2025 debt, operating income (4,063 and 4,308) and interest. Net debt is total debt less cash. Interest in 2021 to 2023 is provider interest expense.

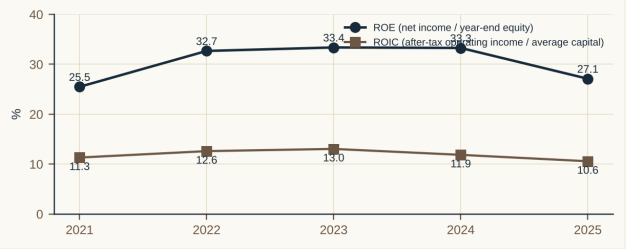
Compound growth over the periods available: revenue 10.6% a year from 2020 to 2025 (USD 15.2bn to 25.2bn, much of it acquired) and 8.9% from 2021 to 2025; net income 10.5% from 2021 to 2025; operating cash flow 8.6%; operating cash flow less capex only 3.7%, because capital expenditure compounded at 14.1%. Adjusted EBITDA CAGR cannot be computed over a long period because only 2024 and 2025 were retrieved on a consistent basis (+15.5%). Efficiency: asset turnover fell from 0.64 in 2023 to 0.56 in 2025 as the Stericycle assets (goodwill USD 4.6bn higher and intangibles USD 3.0bn higher than at the end of 2023) were added; receivables turnover, measured as revenue over year-end receivables, declined from 7.1 to 6.2 times, or from 51 to 59 days, which is a modest watch item. Inventory turnover is not meaningful because inventory is only USD 225m of operating supplies.

Operating cash flow, capex and difference



Source: Alpha Vantage cash flow statements, 2021 to 2025. Units: USD billion.

ROE and ROIC



Source: analyst calculation from annual statements. Units: percent.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Volume decline limits pricing	High	Medium	Q2 2026 collection and disposal volume fell 1.8%; if customers resist yield of 3% to 4%, revenue growth falls toward zero and the guide was already cut 0.6%.
2	Healthcare Solutions underperforms	Medium	High	Revenue is falling (USD 638m against 646m), margin is 19%, goodwill is USD 14.0bn in total and the unit was bought for about USD 7.5bn.
3	Environmental and PFAS liability	Medium	High	CERCLA treatment of PFAS, methane rules and closure and post-closure cost estimates can raise liabilities across 257 landfills.
4	Valuation compression	Medium	High	27.9 times 2026 consensus EPS with beta 0.42; a fall to the five-year low trailing multiple of 29.1 times would imply about USD 206 per share, 9% lower.
5	Leverage and interest rates	Medium	Medium	Debt of USD 23.4bn, net debt 3.1 times EBITDA, interest USD 906m on a trailing basis; ten-year yield averaged 4.99% in September 2026.
6	Commodity, RIN and fuel prices	Medium	Low	Recycling and Renewable Energy produced USD 163m of Q2 EBITDA (7% of the segment total); fuel recovery fees lag costs.
7	Labor and operations	Medium	Low	9,200 employees under collective bargaining; wage inflation and strikes can disrupt service.
8	Technology and cyber	Low	Medium	Fleet electrification and automation require capital; a cyber incident would hit billing and route operations.
9	Competition and municipal insourcing	Low	Medium	Re-tendered contracts or municipal landfills would cut volume and weaken pricing; no customer exceeds 5% of revenue.

Source: analyst assessment using WM Form 10-K 2025 and the second quarter 2026 earnings release.

The three risks most capable of permanently impairing value are environmental liability (a one-time legal or regulatory change is hard to reverse), a Healthcare Solutions write-down (a permanent loss of invested capital) and a valuation derating combined with leverage, which would turn a cyclical price decline into a lasting one.

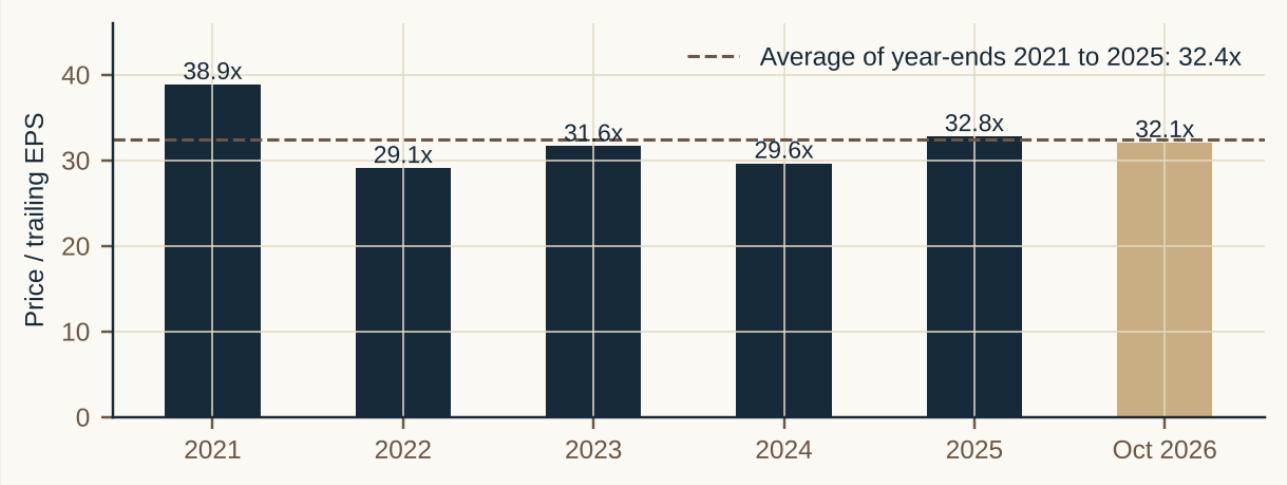
B3. Valuation

VALUATION MULTIPLES AT USD 226.86 (16 OCTOBER 2026)

Multiple	Value	Basis
P/E, trailing GAAP	32.1x	EPS of USD 7.07 (2025 plus first half 2026 less first half 2025)
P/E, adjusted 2025	30.2x	Adjusted EPS of USD 7.50
P/E, 2026 consensus	27.9x	EPS USD 8.14 (26 analysts)
P/E, 2027 consensus	25.0x	EPS USD 9.09
EV/EBITDA, trailing reported operating	15.2x	EV USD 113.5bn; EBITDA USD 7,450m
EV/EBITDA, 2026 guidance mid-point	13.8x	Adjusted operating EBITDA USD 8.2bn
EV/EBIT, trailing	25.2x	Income from operations USD 4,510m
Price/sales	3.5x	Revenue USD 25.7bn trailing
P/FCF, trailing	24.7x	Free cash flow USD 3,668m (company definition)
P/FCF, 2026 guidance mid-point	23.9x	USD 3.8bn
Dividend yield	1.67%	USD 3.78 annual dividend; payout 53% of earnings

Source: WM releases; StockAnalysis (market cap USD 90.68bn, 399.72m shares, consensus), 18 October 2026. Trailing figures are the twelve months to 30 June 2026 calculated by the analyst. PEG is not shown: the consensus EPS growth of 11.7% in 2027 gives about 2.4, which is not informative for a price-led compounding business.

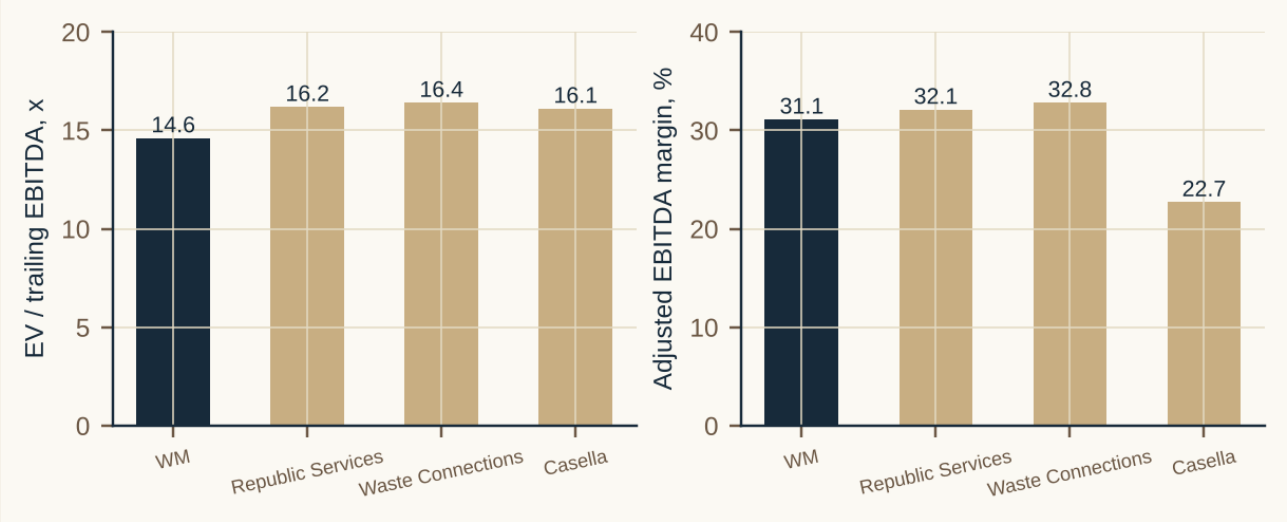
Price to trailing earnings at each year-end



Source: Alpha Vantage prices; WM annual net income and year-end shares outstanding (derived EPS: 2021 4.29, 2022 5.39, 2023 5.66, 2024 6.81, 2025 6.70). October 2026 uses trailing GAAP EPS of USD 7.07.

Historical valuation: the year-end trailing P/E has ranged from 29.1 to 38.9 times with an average of 32.4 times, so the current 32.1 times is in the middle of the five-year range. Peer valuation: Republic Services trades at 16.2 times EBITDA and 30.3 times forward earnings, Waste Connections at 16.4 times and 28.4 times. At the peers' 16.2 to 16.4 times, WM would be worth about USD 258 to 262 per share (calculated from provider EBITDA of USD 7.77bn and net debt of USD 22.8bn), so the market applies roughly a 10% EBITDA discount, which is consistent with Healthcare Solutions drag and a lower margin.

Peer comparison: EV/EBITDA and adjusted EBITDA margin



Source: StockAnalysis (15 to 18 October 2026), company second quarter 2026 releases. Units: multiple of trailing EBITDA; percent of revenue.

What expectations are embedded in the price? With a 7.8% WACC the market price requires terminal growth of 3.1%, or alternatively a WACC of 7.7% at 3.0% growth. Operationally the base case that justifies the price needs revenue growth of 4.5% a year to 2031, an adjusted EBITDA margin rising from 31.1% to 33.2% and capital intensity falling from 10.2% to 9.3% of revenue. These expectations appear reasonable to modestly optimistic: pricing and the 2026 guide support the first two years, but margin expansion beyond 2027 depends on Healthcare Solutions and on volume returning to growth.

B4. Capital Market and Stock Analysis

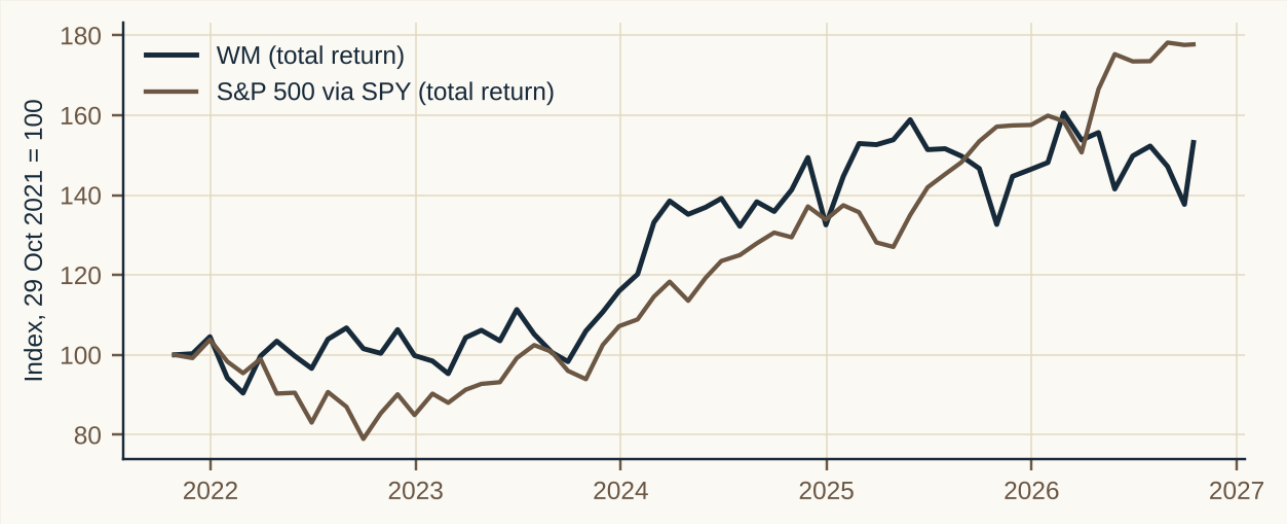
TOTAL RETURN VERSUS THE S&P 500 (SPY), PERCENT

Period	WM	SPY	Difference
1 day (16 October 2026)	1.2	N/R	N/R
1 week (from 9 October close)	8.6	N/R	N/R
1 month (from 16 September close)	6.0	N/R	N/R
3 months (from 16 July close)	-6.4	N/R	N/R
Year to date (from 31 December 2025)	4.6	12.8	-8.2
Six months (from 30 April 2026)	-1.6	6.7	-8.3
One year (from 31 October 2025)	15.5	13.1	2.3
Three years (from 31 October 2023)	44.5	89.2	-44.7
Five years (from 29 October 2021)	53.2	77.7	-24.6

Source: Alpha Vantage daily and monthly adjusted series (dividends reinvested for periods of one year and longer; short periods are price returns). The monthly series is anchored to the nearest month-end, so periods are approximate. N/R: not retrieved.

WM compounded 53.2% over five years (8.9% a year) against 77.7% for the S&P 500 (12.2% a year), trailing the index in every period except the last twelve months, which started from the October 2025 low. Relative performance versus the sector: Republic Services closed at USD 231.54 and Waste Connections at USD 165.51 on the same week; sector total return series were not retrieved.

WM and the S&P 500, total return index



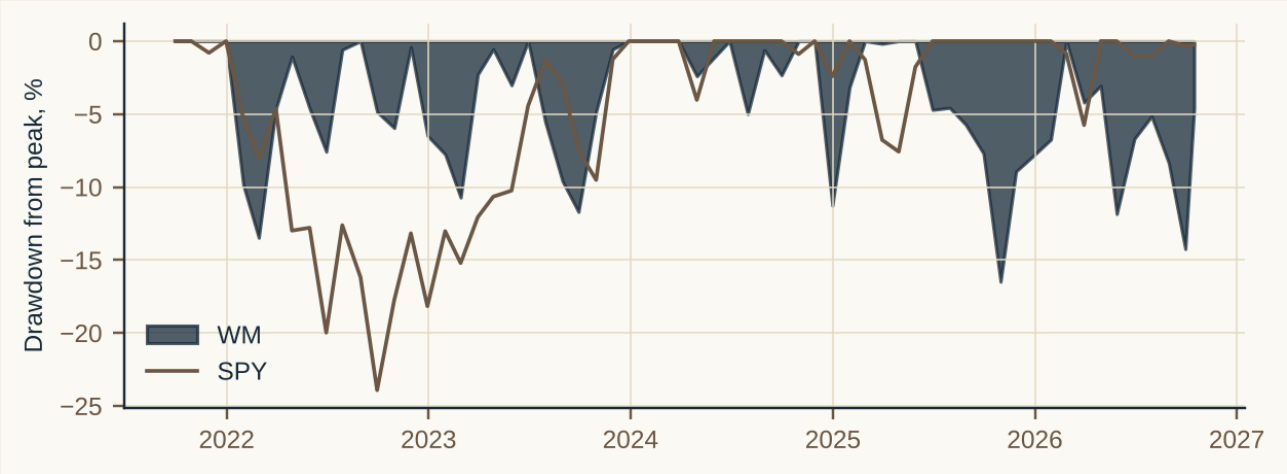
Source: Alpha Vantage monthly adjusted series, 29 October 2021 to 16 October 2026. Units: index, 29 October 2021 = 100.

VOLATILITY AND RISK

Measure	Value	Basis
Annualized volatility, 60 monthly returns	18.9%	Calculated; S&P 500 15.7%
Annualized volatility, 3 months daily	21.6%	Calculated
Downside volatility	11.9%	Calculated, monthly
Beta versus S&P 500 (SPY)	0.42	Calculated, monthly; provider five-year beta 0.43
Correlation with S&P 500	0.35	Calculated, monthly
Maximum drawdown, month-end basis	-16.5%	May 2025 peak to October 2025 trough; S&P 500 -23.9%
Maximum drawdown, last 3 months daily	-16.7%	16 July 2026 high to 1 October 2026 low

Source: analyst calculation from Alpha Vantage adjusted prices, October 2021 to September 2026 for monthly statistics.

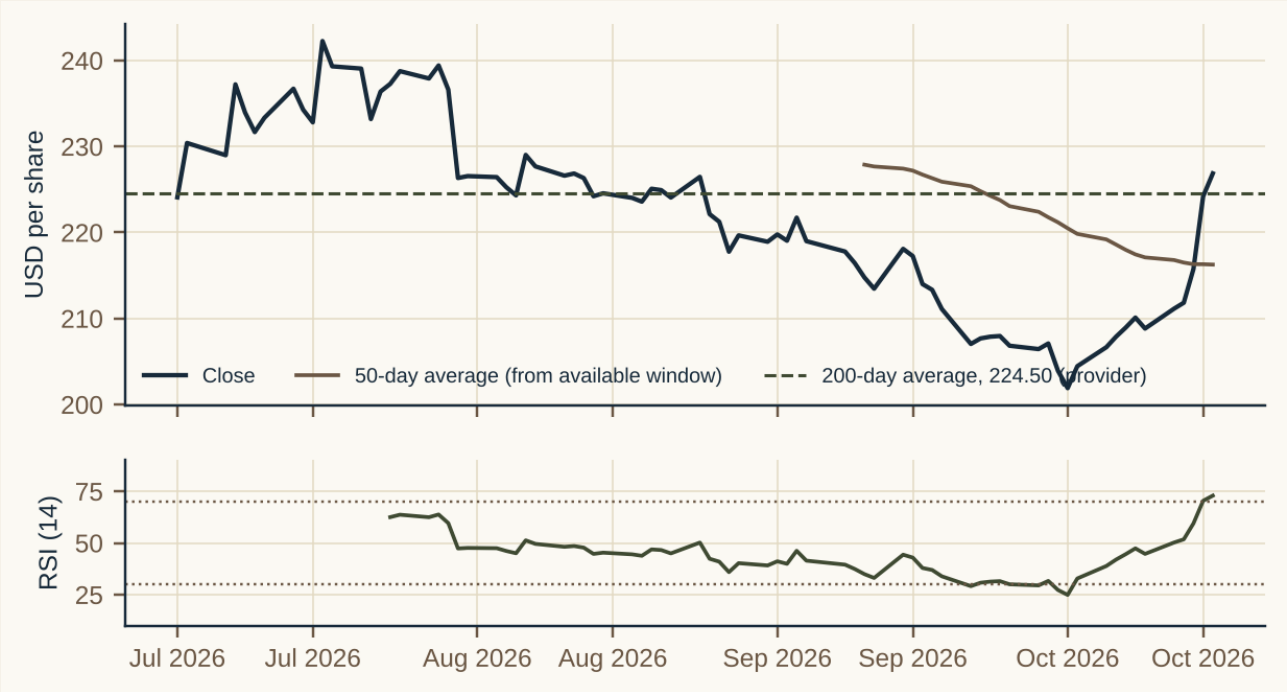
Drawdown from previous peak, month-end



Source: analyst calculation from Alpha Vantage monthly adjusted prices, September 2021 to October 2026. Units: percent.

The price is trending sideways to up within a 195 to 250 range. After the October 2025 trough (USD 196.50 total return basis) the stock recovered to its previous peak by February 2026, rallied to a monthly high of USD 248.13 in March, fell back to USD 203.92 at the end of September, and has since risen 11.2% in two weeks. The 3-month range is USD 200.58 to USD 247.15, and the stock fell 5.5% over the two sessions of 29 and 30 July that followed the second quarter release of 28 July. Volume on 15 October was 5.2m shares, 2.3 times the 20-day average of 2.28m, on a move of +3.9%, the same day Waste Connections gained 5.5% in the provider data, which points to a sector move.

WM price with moving averages and RSI



Source: Alpha Vantage daily series (1 July to 16 October 2026) and analyst calculation; 200-day average from StockAnalysis. Units: USD per share; RSI index.

Technical indicators: the close of USD 226.86 is above the 50-day average (USD 216.26) and slightly above the 200-day average (USD 224.50), so the medium-term structure has turned positive again. The 14-day RSI is 72.9, which is overbought; the MACD (+1.13) has crossed above its signal line (-1.54) from below. The 14-day average true range is USD 3.87, or 1.7% of the price. Support sits near USD 201 to 207 (September and early October lows) and resistance near USD 236 to 242 (July highs). This is a momentum reading of a low-beta stock after a sharp week; it should be separated from the fundamental conclusion, because an overbought RSI says nothing about intrinsic value and often resolves through consolidation rather than reversal.

C. Financial Statements

Accounting framework: US GAAP. Fiscal years end on 31 December. WM discloses adjusted figures that exclude acquisition and integration costs (USD 24m in Q2 2026), impairments and unusual items; adjusted operating EBITDA was USD 7,582m in 2025 against reported operating EBITDA of USD 7,171m, a USD 411m difference (5.7%). Adjusted figures are shown only alongside reported ones.

C1. Income Statement

INCOME STATEMENT SUMMARY, USD MILLION (REPORTED)

Line	FY 2024	FY 2025	H1 2025	H1 2026
Operating revenues	22,063	25,204	12,448	12,911
Operating costs	13,383	15,012	7,415	7,649
Selling, general and administrative	2,264	2,722	1,383	1,390
Depreciation, depletion and amortization	2,267	2,863	1,435	1,512
Restructuring, impairments and unusual items	86	299	51	-6
Income from operations	4,063	4,308	2,164	2,366
Interest expense, net	598	912	464	458
Income before taxes	3,458	3,426	1,716	1,915
Income tax expense	713	717	352	406
Net income attributable to WM	2,746	2,708	1,363	1,508
Diluted EPS, USD	6.81	6.70	3.37	3.74
Diluted shares, million	403.4	404.2	404.0	403.3
Effective tax rate, %	20.6	20.9	20.5	21.2

Source: WM fourth quarter 2025 earnings release (SEC Form 8-K, 28 January 2026) and second quarter 2026 earnings release (SEC Form 8-K, 28 July 2026). The half-year columns report depreciation, depletion, amortization and accretion together; the full-year columns exclude accretion of USD 133m (2024) and USD 142m (2025). Research and development is not reported.

Growth drivers. 2025 revenue rose USD 3.1bn: Healthcare Solutions contributed USD 2.1bn (USD 403m to USD 2,508m, a full year of Stericycle), Renewable Energy USD 160m, and Collection and Disposal USD 1.0bn (+5.0%) from yield of 3.8% and flat volume of 0.1%. Recycling Processing and Sales fell USD 111m (-6.9%) on commodity prices. In the first half of 2026 Collection and Disposal revenue grew 3.5% (USD 10,560m against USD 10,203m), with volume of -1.6%. Currency is a minor factor (Canada and Europe are small).

Margins. Operating margin fell from 18.4% to 17.1% in 2025 because of Stericycle's lower margin, USD 213m of additional charges and higher SG&A (USD 2,722m, 10.8% of revenue, against 10.3%). SG&A has since fallen to 10.2% of revenue in Q2 2026 (9.9% adjusted), the clearest evidence of operating leverage: in the first half of 2026 revenue grew 3.7% and income from operations 9.3%. Interest expense is the main reason EPS has lagged EBITDA: it rose from USD 598m to USD 912m (+52%) after the acquisition debt, offsetting USD 245m of higher income from operations. First half 2026 net income was up 10.6% and diluted EPS up 11.0%, which is the first clean evidence that earnings are catching up with EBITDA.

C2. Balance Sheet

BALANCE SHEET SUMMARY, USD MILLION

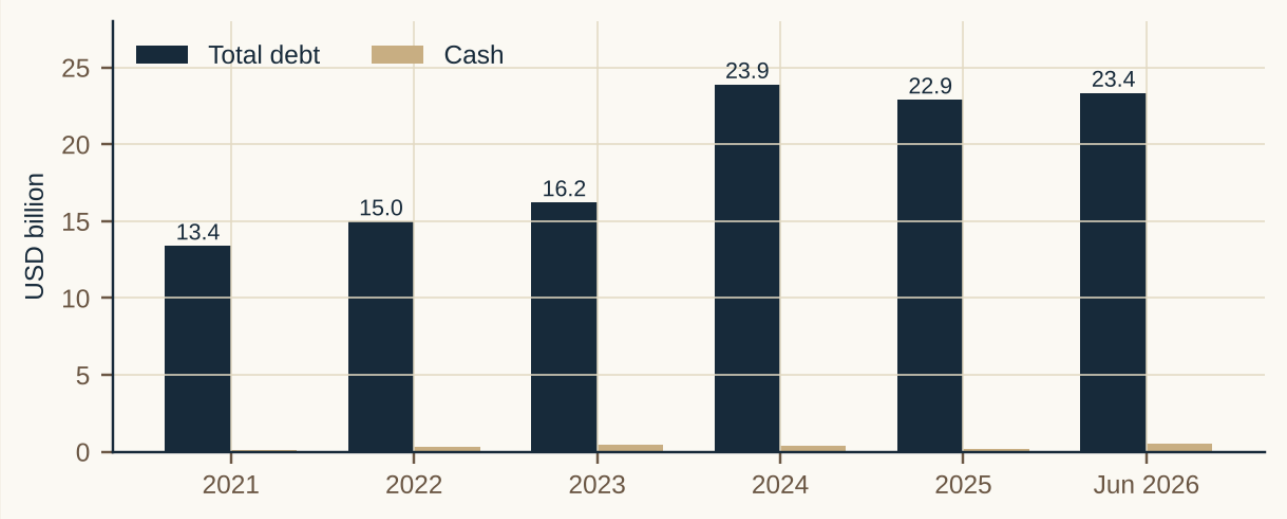
Line	Dec 2023	Dec 2024	Dec 2025	Jun 2026
Cash and equivalents	458	414	201	557
Receivables, net	2,870	3,687	4,055	4,206
Property and equipment, net	17,421	19,340	20,378	20,440
Goodwill	9,254	13,438	13,880	14,001
Other intangible assets	759	4,188	3,767	3,641
Total assets	32,823	44,567	45,835	46,441
Current liabilities	4,226	6,258	5,524	5,948
Total debt	16,229	23,900	22,907	23,356
Total liabilities	25,927	36,313	35,844	36,515
Shareholders' equity (WM)	6,903	8,252	9,990	9,925
Net debt	15,771	23,486	22,706	22,799
Current ratio, x	0.90	0.76	0.89	0.91
Quick ratio, x	0.79	0.66	0.77	0.80
Working capital	-422	-1,484	-614	-551
Equity ratio, %	21.0	18.5	21.8	21.4

Source: WM earnings releases (2024 to June 2026 property and equipment, goodwill, debt, equity); Alpha Vantage balance sheet for December 2023. Ratios calculated by the analyst. Quick ratio is cash plus receivables over current liabilities. Pension obligations are not material to the analysis and were not retrieved; lease liabilities were not separately retrieved.

Balance-sheet strength is adequate rather than strong. Net debt of USD 22.8bn is 3.06 times trailing reported operating EBITDA (2.99 times 2025 adjusted EBITDA), down from 3.71 times at the end of 2024 as EBITDA absorbed a full year of Stericycle. Liquidity is carried by operating cash flow, not by cash: a current ratio below 1.0 and negative working capital are normal for a company with monthly billing and USD 1.1bn of debt maturing within 12 months. Interest coverage (income from operations over interest) of 4.7 times in 2025 is the lowest of the five years and is the figure to watch if rates stay high.

Red flags. Goodwill of USD 14.0bn plus other intangibles of USD 3.6bn equal 38% of total assets and 178% of shareholders' equity; tangible equity is therefore negative at about USD 7.7bn. Goodwill rose USD 4.2bn in 2024 with Stericycle. Receivables grew 10% in 2025 against revenue growth of 14%, with days sales outstanding at 59 against 51 in 2023 (61 in 2024), mostly the effect of Stericycle's healthcare customers. Off-balance-sheet obligations were not retrieved; landfill closure and post-closure liabilities and legal accruals are recorded on the balance sheet and are estimates that change with regulation.

Total debt and cash



Source: WM earnings releases; Alpha Vantage balance sheets. Units: USD billion, year-end and 30 June 2026.

C3. Cash Flow Statement

Operating cash flow was USD 6,043m in 2025 (+12.1%) and USD 3,227m in the first half of 2026 (+17.2%). It exceeds net income by a factor of 2.2 because depreciation, depletion and amortization of USD 2,863m is non-cash. Capital expenditure of USD 3,227m was 12.8% of revenue, split between USD 2,594m to support the business and USD 633m of sustainability growth (renewable energy and recycling automation); the corresponding 2026 guide is USD 2.4bn to 2.5bn and USD 250m. Company-defined free cash flow, which adds divestiture proceeds and deducts both capex categories, was USD 2,937m in 2025 (+26.8%, 11.7% of revenue) and USD 2,024m in the first half of 2026 (+57%). Free cash flow conversion to net income was 1.08 in 2025.

Uses of cash. In 2025 WM paid dividends of USD 1,334m, made no share repurchases, spent USD 395m on acquisitions and repaid net USD 1.3bn of debt. In 2024 it spent USD 7,488m on acquisitions, funded by net borrowing of USD 6.7bn and USD 262m of buybacks, and paid dividends of USD 1,210m. In the first half of 2026 dividends were USD 764m and buybacks USD 1,003m, with USD 85m of acquisitions and net borrowing of USD 339m. If the planned USD 2bn of buybacks and USD 1.5bn of dividends are executed, WM will return about 92% of the USD 3.8bn free cash flow guide, which leaves little room to reduce debt except through EBITDA growth.

Net income and cash generation differ for three reasons: the non-cash depreciation noted above, working-capital movements (USD 82m outflow in the first half of 2026 against USD 274m in the first half of 2025, so the swing contributed about USD 190m to the 17% rise in operating cash flow) and non-cash adjustments such as stock compensation (USD 169m in 2025) and deferred taxes. The gap is a sign of asset intensity rather than of earnings manipulation, but it also means that earnings overstate distributable cash if capex stays above depreciation, as it does today (capex USD 3,227m against DD&A of USD 2,863m in 2025).

C4. Forecasting and Projections

Revenue is modelled from guidance and consensus: USD 26.375bn in 2026 (guidance mid-point of USD 26.275bn to 26.475bn; consensus USD 26.43bn), USD 27.85bn in 2027 (consensus USD 27.86bn) and then growth decelerating from 5.0% to 3.5% by 2031. Price and mix of 3.2% to 3.6% yield (company guidance) plus 0.2% to 0.6% volume plus acquisitions and Healthcare Solutions growth of about 3% support the first years. Market share is not measured, but the combination of three national operators is stable. Adjusted EBITDA margin rises from 31.1% to 33.2% by 2031 as SG&A falls toward 9.5% of revenue, Stericycle synergies are realized and recycling and renewable margins improve. DD&A and accretion are held at 11.6% of revenue (first half of 2026: 11.7%), capex falls from 10.2% to 9.3% of revenue, and working capital absorbs 3% of incremental revenue. Maintenance capex is not disclosed separately; the ’support the business’ category (about 10% of revenue) is the closest proxy.

BASE CASE PROJECTION, USD MILLION

Line	2026E	2027E	2028E	2029E	2030E	2031E
Revenue	26,375	27,852	29,245	30,561	31,783	32,895
Revenue growth, %	4.6	5.6	5.0	4.5	4.0	3.5
Adjusted operating EBITDA	8,203	8,857	9,446	9,993	10,488	10,921
EBITDA margin, %	31.1	31.8	32.3	32.7	33.0	33.2
EBIT after depreciation and accretion	5,143	5,626	6,054	6,448	6,802	7,105
NOPAT at 24% tax	3,909	4,276	4,601	4,901	5,169	5,400
Capital expenditure	2,690	2,757	2,837	2,903	2,988	3,059
Unlevered free cash flow	4,278	4,705	5,115	5,503	5,832	6,123

Source: analyst projection based on WM 2026 guidance (28 July 2026) and StockAnalysis consensus. These are analyst estimates, not company forecasts. The 2026 EBIT figure deducts accretion of USD 150m in addition to depreciation, depletion and amortization.

SCENARIO SUMMARY

Assumption or result	Bear	Base	Bull
Revenue CAGR 2026 to 2031, %	3.0	4.5	5.5
Adjusted EBITDA margin in 2031, %	30.3	33.2	34.8
WACC, %	8.5	7.8	7.3
Terminal growth, %	2.5	3.0	3.3
Enterprise value, USD bn	75.5	111.3	146.4
Equity value, USD bn	52.7	88.5	123.6
Value per share, USD	132	222	309
Terminal value share of enterprise value, %	74	80	83

Source: analyst DCF model; 399.7m shares and net debt of USD 22.8bn at 30 June 2026.

C5. Discounted Cash Flow (DCF) Model

The model discounts unlevered free cash flow (after-tax operating profit plus depreciation less capex and working capital) from the fourth quarter of 2026 to 2031 and adds a Gordon growth terminal value. Valuation date is 18 October 2026, with 2026 contributing only the remaining quarter and cash flows discounted from the end of each period.

DCF ASSUMPTIONS (BASE CASE)

Input	Assumption and basis
Revenue and growth	USD 26,375m in 2026; growth 5.6%, 5.0%, 4.5%, 4.0%, 3.5% to 2031 (2026 guidance, 2027 consensus, then fade)
Adjusted EBITDA margin	31.1% in 2026 rising to 33.2% in 2031 (guidance 31.0% to 31.2%)
Depreciation, depletion, amortization and accretion	11.6% of revenue (11.7% in the first half of 2026)
Tax rate	24% on operating profit (adjusted effective rate 23.3% in Q2 2026)
Capital expenditure	10.2% of revenue in 2026 (guidance USD 2.65bn to 2.75bn), falling to 9.3% in 2031
Working capital	3% of incremental revenue
Cost of equity	8.7%: ten-year Treasury yield 4.99% (September 2026 monthly average) plus beta 0.75 times a 5.0% equity risk premium; beta is above the observed 0.42 to 0.43 because low observed beta in a regulated-like sector can understate cyclical and rate risk
Cost of debt and weights	5.3% pre-tax (4.0% after tax); 79% equity and 21% debt by market value
WACC	7.8% (base); 7.0% to 8.6% in sensitivities
Terminal growth	3.0% (range 2.0% to 4.0%)
Terminal value	USD 131.4bn in 2031, present value USD 88.9bn, 79.9% of enterprise value
Net debt and shares	Net debt USD 22,799m (30 June 2026); 399.7m shares outstanding

Source: analyst assumptions based on WM guidance, StockAnalysis consensus and Alpha Vantage Treasury yield data. Landfill closure and post-closure spending and operating leases are not separately deducted, which makes the values modestly generous.

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE IN USD

WACC	2.0%	2.5%	3.0%	3.5%	4.0%
7.0%	220	246	278	319	374
7.4%	199	221	247	280	323
7.8%	181	200	221	249	283
8.2%	166	181	200	222	250
8.6%	152	165	181	200	223

Source: analyst DCF model, base operating case.

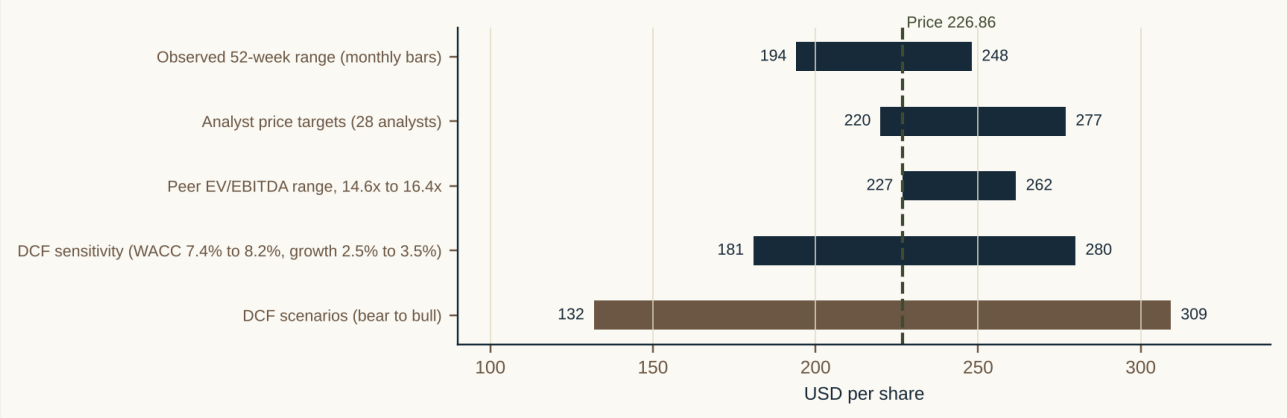
SENSITIVITY: EBITDA MARGIN SHIFT (ROWS) AGAINST REVENUE GROWTH SHIFT (COLUMNS), VALUE PER SHARE IN USD

Margin shift	-2.0 pts	-1.0 pts	Base	+1.0 pts	+2.0 pts
-1.0 pts	188	199	210	221	233
-0.5 pts	194	204	216	227	240
+0.0 pts	199	210	221	233	246
+0.5 pts	204	215	227	239	252
+1.0 pts	209	221	233	245	258

Source: analyst DCF model at 7.8% WACC and 3.0% terminal growth. Margin shifts apply to every year; growth shifts apply to each annual growth rate.

The DCF indicates a range rather than a point: about USD 181 to 280 per share for WACC of 7.4% to 8.2% and terminal growth of 2.5% to 3.5% (USD 200 to 249 at the base WACC of 7.8%), with a base value of USD 222, and a wider USD 132 to 309 across bear and bull scenarios. Because 80% of enterprise value is terminal value, a one-point move in WACC changes value by 20% or more; the model says more about what the price requires than about intrinsic worth.

Valuation ranges against the current price



Source: Alpha Vantage prices; StockAnalysis analyst targets (28 analysts, 18 October 2026); analyst DCF model and peer multiple calculation. Units: USD per share.

C6. Leveraged Buyout (LBO) Model

Not applicable. With an enterprise value of USD 113.5bn, a trailing free cash flow yield of about 3.2% on enterprise value and existing leverage of 3.1 times EBITDA, a leveraged buyout is not a realistic valuation framework for WM; no sponsor financing structure would clear a 15% to 20% return hurdle at the current valuation.

D. Investment Thesis

Bull Case

Yield of 4% or more is sustained and volume recovers to growth of 1% as housing and construction activity improve. Healthcare Solutions reaches a 22% margin as route and facility consolidation is completed and price-led operating leverage continues, lifting group adjusted EBITDA margin to nearly 35% by 2031 (our bull case 34.8%), while capex intensity falls to 9%. Free cash flow reaches about USD 6.8bn by 2031 and USD 2bn of annual buybacks retire about 2% of shares at the current price. With a WACC of 7.3% and terminal growth of 3.3% the DCF value is about USD 309, and multiple expansion toward the 16.2 to 16.4 times of peers would be consistent with USD 258 to 262 on today’s earnings.

Bear Case

Volume declines by 1% to 2% a year, forcing price concessions, revenue growth slows to about 3% and margins slide back to 30.3% as healthcare integration stalls and PFAS or methane regulation lifts closure costs. A goodwill impairment on Healthcare Solutions reduces equity further. With a WACC of 8.5%, terminal growth of 2.5% and a lower multiple the DCF falls to about USD 132; at the same time interest costs would limit the ability to buy back shares.

Base Case

Revenue grows 4.5% a year to USD 32.9bn in 2031, margins reach 33.2% and free cash flow follows to about USD 6.1bn on an unlevered basis. Consensus EPS of USD 8.14 in 2026 and USD 9.09 in 2027 (+11.7%) is consistent with this path. The DCF gives about USD 222, close to the market price, so the base case implies a return close to the 8.7% cost of equity rather than an obvious mispricing.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Third quarter 2026 results	Late October 2026 (date not retrieved)	Tests whether volume stabilizes and whether the 2026 revenue guide is cut again.
2027 guidance	January 2027	Sets the free cash flow, margin and buyback path after the 2026 integration year.
Healthcare Solutions margin	Quarterly	Moving from 19.0% adjusted toward 22% would add about USD 75m of EBITDA at current revenue.
Share repurchases	During 2026	USD 2bn planned; USD 1,003m completed in the first half.
RIN, RNG and recycled commodity prices	Ongoing	Renewable Energy EBITDA was USD 71m in Q2, up 34% from USD 53m.
Environmental regulation	Ongoing	PFAS treatment under CERCLA and landfill methane rules could change closure liabilities.
Interest rates	Ongoing	Ten-year yield at 4.99% in September 2026 raises refinancing costs on USD 1.1bn of current debt.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Collection and Disposal volume	Shows whether pricing is eroding demand	Better than -0.4% (ex wildfire) and positive by 2027	Below -2% for two quarters
Collection and Disposal yield	Drives revenue and margin	Above 3.5%	Below 3.0%
Healthcare Solutions margin and revenue	Tests the acquisition thesis	Margin above 20% with revenue growth	Revenue below USD 630m a quarter
Net debt / EBITDA	Funds buybacks and dividends	Below 3.0x	Above 3.4x
Free cash flow	Supports valuation	Above USD 3.8bn for 2026	Below USD 3.5bn
Income from operations / interest	Debt service capacity	Above 5.0x	Below 4.0x
Diluted EPS growth	Confirms earnings catch EBITDA	Above 10%	Below 5%

E. Final Investment Framework

BUSINESS QUALITY	High. Owned disposal capacity and contracted collection generate a 38.6% segment margin and recurring cash flow.
FINANCIAL QUALITY	Good. Operating cash flow is 2.2 times net income and free cash flow is rising, but capex is 12.8% of revenue and interest cover has fallen to 4.7 times.
COMPETITIVE POSITION	Leading in scale, strong in disposal, moderate in healthcare waste. The valuation discount to peers reflects the latter.
MANAGEMENT	Experienced and shareholder-oriented in capital returns; the track record on the Stericycle acquisition is not yet proven and insider ownership is 0.17%.
INDUSTRY	Mature, consolidating oligopoly with price-led growth, scarce disposal assets and flat volume.
VALUATION	Fair to full. 27.9 times 2026 EPS and USD 222 base DCF against a USD 226.86 price; a 10% EBITDA multiple discount to peers is the main upside argument.
TECHNICAL AND MARKET STRUCTURE	Low beta (0.42), above its 50-day and 200-day averages, RSI 72.9 and overbought after a 8.6% weekly gain; ranged between USD 196 and USD 248 over a year.
PRINCIPAL RISK	Volume declines that expose limits to pricing power, with leverage and healthcare integration magnifying the effect on earnings.
PRINCIPAL CATALYST	Delivery of the 2026 free cash flow guide of USD 3.75bn to 3.85bn and confirmation in January 2027 guidance.
KEY VARIABLE	Collection and Disposal yield net of volume, because price on a flat or declining volume base is what funds margin expansion and debt reduction.
THESIS INVALIDATION	The investment thesis would become materially weaker if collection and disposal volume falls more than 2% for two consecutive quarters, if net debt to EBITDA rises above 3.5 times, if Healthcare Solutions revenue falls below USD 600m a quarter or its adjusted margin below 17%, or if 2026 free cash flow comes in below USD 3.5bn.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market capitalization	USD 90.7bn	USD 88.9bn	5Y price +53%
Market	Enterprise value	USD 113.5bn	USD 111.6bn	N/A
Market	Share price	USD 226.86	USD 219.71	5Y total return +53.2%
Growth	Revenue growth	14.2%	8.0%	2020 to 2025 CAGR 10.6%
Profitability	Gross margin after DD&A	29.1%	29.1%	26.9% in 2021
Profitability	Operating margin	17.1%	18.4%	16.8% in 2021
Profitability	Net margin	10.7%	12.4%	10.1% in 2021
Profitability	ROE	27.1%	33.3%	5Y average 30.4%
Profitability	ROIC	10.6%	11.9%	5Y average 11.9%
Cash flow	Operating cash flow	USD 6,043m	USD 5,390m	2021 to 2025 CAGR 8.6%
Cash flow	Free cash flow (company)	USD 2,937m	USD 2,317m	OCF less capex CAGR 3.7%
Leverage	Net debt / EBITDA	3.17x	3.71x	3.06x trailing
Valuation	P/E (trailing GAAP)	32.1x	32.8x	5Y year-end average 32.4x
Valuation	EV/EBITDA (trailing)	15.2x	15.6x	N/A

Category	Metric	Current	Prior year	3Y / 5Y trend
Valuation	P/FCF (trailing)	24.7x	30.3x	N/A
Market	Beta (60 months)	0.42	N/A	Provider 0.43
Market	Volatility (annualized)	18.9%	N/A	S&P 500 15.7%
Market	Maximum drawdown	-16.5%	N/A	S&P 500 -23.9%

Fundamental metrics: Current is fiscal 2025 and Prior year is fiscal 2024. Market and valuation metrics: Current is 16 October 2026 and Prior year is 31 December 2025 (end-2025 enterprise value uses net debt of USD 22,706m and 404.5m shares). Trailing multiples use the twelve months to 30 June 2026. Source: analyst calculations from WM releases, Alpha Vantage and StockAnalysis.

G. Sources and Methodology

Data cross-check

Company releases were preferred over provider data wherever they differed. The financial data provider's operating income for 2024 (USD 4,149m) and 2025 (USD 4,607m) differs from the reported income from operations (USD 4,063m and USD 4,308m) because of classification of impairment and other items, and the provider's EBITDA and depreciation fields for 2025 are inconsistent with the filing; the report therefore uses the release for 2024 and 2025 and the provider only for 2021 to 2023. Enterprise value (USD 113.5bn) and market capitalization (USD 90.7bn) agree between the provider and the analyst calculation (399.7m shares at USD 226.86 plus net debt of USD 22.8bn). The provider's EV/EBITDA (14.6 times) uses a higher EBITDA (USD 7.77bn) than the twelve-month reported operating EBITDA calculated here (USD 7.45bn), which explains the 15.2 times shown in section B3. Share counts differ between the 30 June 2026 balance sheet (403.3m) and the provider's current figure (399.7m) because of USD 1.0bn of first-half buybacks and later repurchases; the lower number is used for market value, and per-share values use it.

Source list

Primary Sources

WM / U.S. Securities and Exchange Commission, Form 8-K, Exhibit 99.1: second quarter 2026 earnings release. 28 July 2026. https://www.sec.gov/Archives/edgar/data/0000823768/000110465926087575/tm2621414d1_ex99-1.htm. Information obtained: Quarterly and half-year income statement, balance sheet, cash flow, free cash flow, segment results, adjusted reconciliations and 2026 guidance

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Secondary Sources

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Waste360, Casella Waste Systems Raises Revenue Guidance Following Strong Q2 Performance. 7 August 2026. https://www.waste360.com/industry-insights/casella-waste-systems-raises-revenue-guidance-following-strong-q2-performance. Information obtained: Casella revenue, adjusted EBITDA, pricing and guidance

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Market Data

Alpha Vantage, Daily, monthly adjusted time series, financial statements and Treasury yield for WM and SPY. Data to 16 October 2026. https://www.alphavantage.co/documentation/. Information obtained: Prices, returns, volatility, beta, annual financial statements and ten-year Treasury yield

StockAnalysis, WM statistics. 18 October 2026. https://stockanalysis.com/stocks/wm/statistics/. Information obtained: Market capitalization, enterprise value, beta, multiples, moving averages, ownership

StockAnalysis, WM analyst forecast. 18 October 2026. https://stockanalysis.com/stocks/wm/forecast/. Information obtained: Consensus rating, price targets and EPS and revenue estimates

StockAnalysis, Republic Services statistics. 16 October 2026. https://stockanalysis.com/stocks/rsg/statistics/. Information obtained: Peer multiples, net debt and margins

StockAnalysis, Waste Connections statistics. 15 October 2026. https://stockanalysis.com/stocks/wcn/statistics/. Information obtained: Peer multiples, net debt and margins

StockAnalysis, Casella Waste Systems statistics. 8 October 2026. https://stockanalysis.com/stocks/cwst/statistics/. Information obtained: Peer multiples, net debt and margins

Calculations

The following were calculated by the analyst and are not reported by the company: gross margin after depreciation (revenue less operating costs and DD&A); ROE and ROIC; net debt and net debt to EBITDA; trailing twelve-month revenue, net income, EBITDA, operating cash flow and free cash flow (2025 plus first half 2026 less first half 2025); interest cover; current and quick ratios; asset and receivable turnover; compound growth rates; derived year-end EPS (net income divided by year-end shares); all returns, volatility, beta, correlation, drawdown, moving average, RSI, MACD and ATR figures; the DCF, scenarios and sensitivities; and peer-implied values. Beta and volatility use 60 monthly total returns for WM and SPY from October 2021 to September 2026. RSI, MACD and ATR use the daily series from 1 July to 16 October 2026.

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